Gmail

Kevin Chan <bertkevin.chan@shopee.com>

Fwd: [For Approval] 2025 Focus Brand Program

Karl Benedict A. Cruz <karl.cruz@shopee.com> Mon, Feb 17, 2025 at 3:01 PM
To: Kevin Chan <bertkevin.chan@shopee.com>

---------- Forwarded message ---------
From: **Vincent Lee** <vincent.lee@shopee.com>
Date: Wed, Jan 8, 2025 at 10:34 PM
Subject: Re: [For Approval] 2025 Focus Brand Program
To: xiaoo liu <xiaoo.liu@shopee.com>
Cc: Jack Ng <jack.ngjq@shopee.com>, Karl Benedict A. Cruz <karl.cruz@shopee.com>, Mohit Aggarwal <mohit.aggarwal@shopee.com>, Preksha Lunia <preksha.lunia@shopee.com>, <carpioc@sea.com>, <enriquezm@sea.com>, <reyese@sea.com>, <yewtsl@sea.com>, Mazelle G. Ip <mazelle.ip@shopee.com>

Okay

Vincent Lee

On Wed, Jan 8, 2025 at 9:54 PM xiaoo liu <xiaoo.liu@shopee.com> wrote:

> Hi Vincent,
>
> Thanks for your feedback and will ensure thorough understandings of old approaches before designing new programs.
>
> Have discussed with Jack and we believe we should do direct discount on back-end vs rebate via wallet adjustment because of the risk of potential 2.75mn additional tax. Assuming 50% chance of being detected by CIR, expected tax loss 1.375mn would still be higher than 1mn more payout amount from direct discount approach (commission discount % applied to later higher GMV months).
>
> In terms of execution, direct discount would be more tedious but manageable, which is already used by FSP payout.
>
> Can find detailed comparison in below table:

	Option 1 Comm Fee Rebate via Wallet Adjustment	Option 2 (RECOMMENDED) Comm Fee Discount via Order Admin
Tax Implication	Medium risk of potential 2.75mn additional tax	Very low risk
Execution	Easier to execute since creating PR/PO (via Purchase Center) is faster since Payments team only needs a list of shops and the amount to be rebated	More tedious to set up in Order Admin due to multiple rules that need to be managed
Payout Amount	$9,194,171	$10,170,758

Benefit Computation	Rebate computed using actual month performance (e.g. Jan rewards will be computed using Jan NMV)	Discount computed using M+2 performance (e.g. Jan rewards will be computed using Mar NMV)

For next steps, based on the new payout scheme, will share updated budget plan to monetization and budget team to reflect the changes.

For paid ads credit, there is no tax implication.

Thanks!

Best Regards,

Xiaoo Liu , 刘筱

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Email: Xiaoo.Liu@shopee.com **Cell:** +8618818265576/+6309458494210

From: Jack Ng <jack.ngjq@shopee.com>

Sent: Wednesday, January 8, 2025 9:23 AM
To: Vincent Lee <vincent.lee@shopee.com>; Karl Benedict A. Cruz <karl.cruz@shopee.com>; xiaoo liu <xiaoo.liu@shopee.com>
Cc: Mohit Aggarwal <mohit.aggarwal@shopee.com>; Preksha Lunia <preksha.lunia@shopee.com>; carpioc@sea.com; enriquezm@sea.com; reyese@sea.com; yewtsl@sea.com; Mazelle G. Ip <mazelle.ip@shopee.com>
Subject: RE: [For Approval] 2025 Focus Brand Program

@xiaoo liu@Karl Benedict A. Cruz can find time today to discuss with me. Thanks.

From: Vincent Lee <vincent.lee@shopee.com>
Sent: Wednesday, January 8, 2025 8:35 AM
To: Karl Benedict A. Cruz <karl.cruz@shopee.com>
Cc: Mohit Aggarwal <mohit.aggarwal@shopee.com>; xiaoo liu <xiaoo.liu@shopee.com>; Preksha Lunia <preksha.lunia@shopee.com>; carpioc@sea.com; enriquezm@sea.com; reyese@sea.com; yewtsl@sea.com; Mazelle G. Ip <mazelle.ip@shopee.com>; Jack Ng <jack.ngjq@shopee.com>
Subject: Re: [For Approval] 2025 Focus Brand Program

Guys, please do the following when you design these execution details

1. Understand what are the old approaches and how we dealt with it before

2. See how we can replicate without additional complication

You should already know the paid ads approach by asking the team handling paid ads while checking with finance and tax

For bullet point 2, I mean if they are entitled for 1% rebate by end of Q1, you reduce the mandatory commission of Q2 by 1%. Thus you shouldn't have a expense or revenue problem…

The exact calculation needs to be detailed out because you have 2 payout schedule

Adding Jack here.

Vincent Lee

On Wed, Jan 8, 2025 at 8:21 AM Karl Benedict A. Cruz <karl.cruz@shopee.com> wrote:

> Hi Vincent,
>
> Checking with Finance/Tax for bullets 1 and 3.
>
> Could you clarify what you meant with bullet 2?
>
> Thank you!
>
> On Tue, Jan 7, 2025 at 4:59 PM Vincent Lee <vincent.lee@shopee.com> wrote:
>
>> would this apply to the paid ads credit or commission rebate as well?
>>
>> for commission, can we reduce the subsequent quarters rebate in exchange of a direct cash rebate?
>>
>> for paid ads, how do we currently deal with bonus top-up? maybe can follow similar approach?
>>
>> On Tue, Jan 7, 2025 at 3:18 PM Karl Benedict A. Cruz <karl.cruz@shopee.com> wrote:
>>
>>> Hi Vincent,
>>>
>>> Coming from our consultation with Finance, they identified **possible tax implications** for which we would need your advice and acknowledgement:
>>>
>>> **Situation:** Finance is okay with booking the rebate incentives as S&M (Sales and Marketing) expense.
>>>
>>> **Complication:** Given that the expense will not be substantiated with invoices (since the rebates are for program incentives rather than a purchase), there is a **low-to-medium possibility** that PH tax authorities will disallow it to be tagged as an expense in the event of an audit. In this case, we would have to pay **25%**

of the rebate amount as additional tax (~$2.75 million).

Action Needed: Acknowledgement of the tax risks and confirmation that the program will directly / indirectly drive an increase in SPH's revenue.

Looking forward to your thoughts.

Thanks!

On Wed, Dec 11, 2024 at 8:07 PM Vincent Lee <vincent.lee@shopee.com> wrote:

> Okay
>
> **Vincent Lee**
>
> On Wed, Dec 11, 2024 at 1:31 PM Mohit Aggarwal <mohit.aggarwal@shopee.com> wrote:
>
> > Yes - we discussed it quite in depth. Key points
> >
> > 1. Overall, mall we are projecting to grow at 21.5%. The targets we set for these brands is 61% and these brands contribute a decent chunk to mall (37% gmv). In contrast these brands grew around 55-60% in 2024. For most of brands, 2025 target is actually at par / v slightly more than 2024 growth.
> >
> > 2. Basis if brands hit 100% of target / 150% of target we give them some commission waivers / rebates.
> >
> > 3. In case a brand hit 100% target, our effective take increase will be still increase by 1-2% on average.
> >
> > We have looked at commissions / fees brand by brand actually - first 20-30 brands I did myself w Xiaoo and for the rest team followed.
> >
> > On Tue, Dec 10, 2024 at 7:31 PM Vincent Lee <vincent.lee@shopee.com> wrote:
> >
> > > Mohit, have you looked at this?
> > >
> > > **Vincent Lee**
> > >
> > > On Tue, Dec 10, 2024 at 6:00 PM xiaoo liu <xiaoo.liu@shopee.com> wrote:
> > >
> > > > Hi Vincent,
> > > >
> > > > Following up on our recent discussion, sharing below the details of the **Focus Brands Program** for your advice and approval. This program is designed to accelerate Mall growth in 2025 by offering attractive incentives to key Mall brands, driving enhanced engagement and sustainable growth.
> > > >
> > > > We have updated our projections using FP&A's updated platform 2025 growth projection and Mall team's mall 2025 projection (The conservative scenario).
> > > >
> > > > **1. Key highlights for Focus-brands program:**

- **Target Seller Base:** 196 Mall brands identified to be included (**46** high growth big brands and **all** 150 HB brands to mitigate commission increase), covering **~37%** of Mall's ADG

- **Program Mechanics:** Monthly rewards tied to achieving aspirational GMV targets, with annual goals aiming for **~47% YoY GMV growth in 2025** over 2024 (outperforming platform with 13.7% GR , and Mall with 21.4% GR in 2025 base-case)

- **Target setting:** We have set realistic targets for Health & Beauty brands, considering the mandatory 1.12% commission fee increase for the category. For other categories, we have established aspirational targets to encourage performance beyond the base-case scenario

    - **For HB:** Targets based on historical performance and aspirational category growth rate for 2025

    - **For other categories:** targets are aspirational and derived from historical data, with manual adjustments during the JBP process

    - We will prioritize higher targets from (a) our targets (b) the brands' internal growth targets for Shopee

- **Rewards:** Brands meeting 100% of targets receive **0.5–1.5% rebate** of NMV + paid ads credits, with enhanced incentives for exceeding target

- **Take-rate:** for all the brands, we will have a net take rate increase, i.e., net fee increase > NMV rebate

Image 1: Focus brands program design

2. Payout structure and frequency: To ensure consistent performance from brands throughout the year, the incentive structure has been designed with a balanced distribution across **monthly, quarterly, and annual targets**, weighted as follows:

- 40% Monthly, 40% Quarterly, 20% Annual targets

- The accrued balance will be computed / reviewed in M+1 and paid out in M+2, as aligned with the Finance team

The goal of this payout scheme is a) to encourage brands that underperform in certain months to make up for the shortfall in succeeding months, and b) to encourage brands that overachieve monthly targets to continue working hard in succeeding months.

Image 2: Sample payout illustration

3. Target impact: With the focus brands program we are **confident to achieve ~26.8% mall growth rate in 2025 (+5pp over Mall team's target of ~21.4%).** This would result in **Mall contribution of ~23.6%** (2.4pp higher than 2024 / 1pp higher than Mall's conservative target) to the overall platform GMV

- **Key assumptions for realistic growth projections:**

    - **Focus brands:** Assumed 90% hit rate (% of brands meeting targets) for HB and 70% for non-HB. Higher hit rate assumed for HB brands due to more realistic target setting. All brands that meet targets are assumed to achieve 100% of their GMV targets. HB brands that miss targets are assumed to achieve 80%, and non-HB brands 60%

    - **Non-focus brands:** For non-focus brands, growth assumptions are aligned with their 2024 performance and adjusted based on their growth tier. Brands

with slower growth in 2024 are expected to show gradual improvement, while high-growth brands are anticipated to stabilize at a sustainable rate. Newer brands are projected to grow at a faster pace, reflecting their potential for hyper-growth (e.g., 1.2x growth rate multiplier for slow-growth brands, and so on). We have assumed non-focus brands to outperform overall platform growth next year

- **Impact:**
  - **$2,836,225 ADG / $1035,222,190 GMV** for Focus Brands (+11.18% over Mall team's target)
  - **26.8% mall growth rate in 2025** (+5pp over Mall team's target of 21.4%)
  - **23.6% Mall contribution** (+1pp over Mall team's target of 22.6%, +2.4pp higher than 2024)

Image 3: Focus brands program outcome - conservative, realistic, and optimistic scenarios

Internal alignment: Ongoing consultation with Finance, Tax, and Legal teams on the project, details below:

- **Finance:** Initial consultation done; no issues in terms of accounting, payout scheme, and possible accrual for payouts that spill over to 2026
- **Tax:** Pending confirmation on tax implications; to be confirmed within the week
- **Legal:** After securing approval, will complete the Compliance Request Form that will initiate Legal's process

Next steps:

- Once we have your approval, we will begin cascading the targets to internal teams and communicating them to brands during the JBP meetings.
- Follow up on confirmations from Tax and Legal

Looking forward to your thoughts.

Thanks!

Best Regards,

Xiaoo Liu , 刘筱

Shopee Philipines | Category Management

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Regards,

Mohit

Mohit Aggarwal

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Vincent Lee

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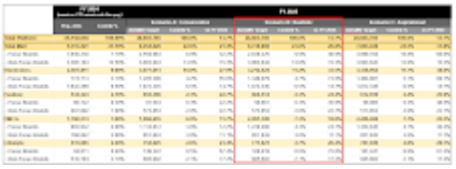
3 attachments



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